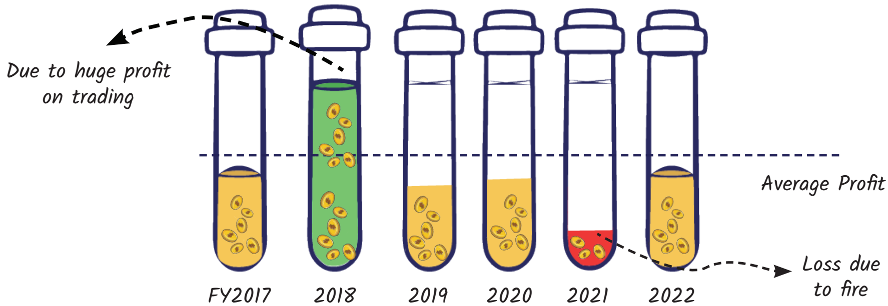
How to normalize the data?

When we are manually entering data in the spreadsheets that we are using, we will have to "normalize" data. So normalizing financials basically means that we make few changes to the numbers so that it reflects the reality even more closely. We will mainly do two things to normalize Financial numbers-

1. Remove one-offs

One-offs are non-recurring events or events that do not happen every year. These events can make the company's financials look very good or bad in a particular year. However, our focus is on making decisions about the future based on past data. Since these events will not repeat every year, we must remove these one-offs from financial statements.

Let us understand it with a few examples:



1.

Loss due to fire

Fire is an accident that will not happen every year unless it is a very fire-prone business. Thus, losses due to such fires are on offs and must be removed.

2.

Huge profits on trading

If the company has made one-time profits from trading activities, it should also be removed before analyzing financial statements. Unless it is a trading company, these profits will not happen every year.

3.

Profit or loss on sale of subsidiaries

Similarly, any profit or loss on sale of any subsidiary should also be removed as it is non-recurring.

Thus, it is important to understand these items and associated notes. Suppose a company had to pay 25% more on exports due to the Russia-Ukraine war. Again, this is a one-off event and will not happen every year.

All these one-offs must be normalized. Only then can you understand the financial statements in a true manner. If such one-offs are not removed from our analysis, the numbers will not show the reality. In such cases, you may end up making wrong decisions about the future.